



MESSAGE FROM THE CHAIRMAN & MANAGING DIRECTOR

Pursuing Purpose-led Growth



As we embark on this ongoing journey, with careful deliberation, we have revitalized our purpose, vision, and values, ensuring they embody our commitment to transformation.

**Dear Stakeholders,**

I hope you will find the Annual Report 2022-23 to be engaging and informative, as it provides a comprehensive overview of how Granules is managing its business in an increasingly integrated manner to reflect our new purpose of 'Healing lives responsibly through pioneering green science'.

A Year of Growth

I am pleased to report that our Company's performance has shown significant improvement over the past year. In FY 2022-23, we experienced a 20% surge in revenue, accompanied by impressive growth rates of 27% in EBITDA and 25% in PAT.

In terms of operating cash flow, FY 2022-23 was an outstanding year. Thanks to our strategic initiatives, we successfully generated a robust operational cash flow of ₹ 7,387 million. Despite incurring buyback expenses of ₹ 3,110 million and unanticipated capital expenditures of ₹ 919 million for our green technology initiatives, our net debt increased by a modest ₹ 705 million compared to the previous year.

Our revenue growth is particularly noteworthy considering the ongoing price erosion in the US market and the distribution challenges we encountered with our previous third-party logistics provider. This growth can be attributed to the significant increase in sales of API and FD products, particularly in key markets such as the US and EU.

During the year, we have successfully filed seven ANDAs with USFDA, two dossiers in the EU, and two ANDAs in CA. Additionally, we have submitted seven US DMFs and five CEPs. Furthermore, it gives me immense pleasure to announce that we have received approvals for five ANDAs from the USFDA during the same period.

Our capital expenditures for the year amounted to ₹ 4,106 millions underscoring our commitment to investing in our future growth. We have made substantial enhancements to our paracetamol API capacity and anticipate a surge in MUPS block utilization for the upcoming financial year. Furthermore, we are actively expanding our footprint in the EU through strategic business partnerships and the sale of dossiers for our FD products.

Notably, the construction of the new formulation facility at Genome Valley is progressing at a good pace, and we anticipate the completion of Phase 1 by October 2023 and Phase 2 by May 2024. Upon completion, this plant will augment our current capacity of 24 billion units of Finished Dosages (FDs) by an additional eight billion units.

Additionally, we successfully launched our new greenfield

packaging facility in Virginia, USA, and obtained FDA approval. The integration of this facility will significantly bolster our operations in both the OTC and Rx segments of our portfolio. It will also enable us to optimize our supply chain efficiency in the US, resulting in cost reductions and an improved working capital cycle.

Investing in Innovation and R&D

During FY 2022-23, our primary focus was on fortifying our R&D and product development capabilities through innovation and advanced technology platforms. By allocating a significantly higher budget for R&D expenditure, we aim to establish Granules as a research and development-driven organization. These strategic initiatives are geared towards expanding our capabilities, improving the quality of our portfolio, and increasing the number of regulatory filings.

Granules' Commitment to Combatting Climate Change

Climate change represents one of humanity's most pressing challenges. Its impact extends beyond borders, posing profound challenges to the stability of nations, economies, and ecosystems. Consequently, our planet and society face significant obstacles. The economic consequences of climate change are extensive, affecting industries, supply chains, and financial systems on a large scale.

Building a successful business involves identifying and addressing the problems society faces. In the face of the climate crisis, corporations have a crucial responsibility to pioneer innovative solutions and drive positive change. Customers are increasingly seeking sustainable products and services, and businesses that can meet this demand will be well-positioned to succeed in the years to come. By aligning purpose and profit,

Transforming Healthcare through Innovation and Sustainability

As a reflection of our commitment to combat climate change, we have entered a partnership with Greenko to establish the integrated green pharmaceutical zone in Kakinada, Andhra Pradesh. To support this endeavor, we have established Granules CZRO, a wholly-owned subsidiary of Granules India Limited. This subsidiary is dedicated to manufacturing products with a near-zero carbon footprint. We have made substantial advancements in developing various technologies for this purpose and have also formed partnerships with esteemed academic institutions and companies to drive innovation in this domain.

businesses can reshape the world for the better, leaving a lasting legacy for future generations.

Sustainability Initiatives at Granules

Granules has taken a deliberate approach to embedding sustainability within its business operations and decision-making process. Driven by a strong sense of environmental responsibility, Granules is dedicated to achieving Net Zero by 2050, further affirming its commitment to a sustainable future.

During the year, we completed the baselining process, benchmarked sustainability practices, and conducted a materiality assessment. Moving forward, Granules intends to establish and communicate comprehensive goals to all stakeholders, across the identified material areas. Our ambition is to become an industry leader and a global frontrunner in sustainability, driving positive change at scale.

Transforming for the Greater Good

Amidst an ever-changing business landscape, we embrace the potential of innovation and adaptability. Our transformation journey rests on a

steadfast dedication to creating a future-ready organization, capable of thriving in the face of evolving challenges and seizing emerging opportunities. We aim to develop the necessary capabilities and competencies that propel us toward enduring success in today's fiercely competitive environment.

As we embark on this ongoing journey, with careful deliberation, we have revitalized our purpose, vision, and values, ensuring they embody our commitment to transformation. As you read through the report, I hope you gain an overview of what we mean.

In Gratitude

Let me conclude by expressing my heartfelt gratitude to the Board of Directors for their continued guidance. My deepest appreciation goes to our employees for their dedication and pursuit of excellence. Finally, I would also like to extend my gratitude to all our stakeholders for their continued faith and confidence in us.

With best wishes to you and your families,

Dr. Krishna Prasad Chigurupati
Chairman & Managing Director

2050

Granules' Net Zero target year